

Optum KPI Framework

What we measure, and why we measure it

Based on UnitedHealth Group results through Q2 2026 · Independent analysis of public filings and industry reporting

Optum, UnitedHealth Group's health services business, is in a margin-first turnaround. Its operating margin fell to 3.5% in 2025, then recovered to 6.2% in Q2 2026 as Optum shrank its value-based care business, moved Optum Rx toward transparent fees and invested heavily in AI.

The 48 KPIs below track what will decide whether that turnaround lasts. Each one shows what it measures, why we track it in one short sentence, and its primary owner. Where Optum or UnitedHealth has published a target, the reason cites it. A role-by-role ownership table follows the KPIs.

The six KPI areas

01 Enterprise and finance Is the turnaround working? KPIs 1–6	02 Optum Health Are value-based care economics fixed? KPIs 7–19	03 Optum Rx Can Optum Rx move to transparent fees without losing clients or margin? KPIs 20–29
04 Optum Insight Is AI spending turning into growth? KPIs 30–39	05 Patient, member and clinician experience Do people feel the difference? KPIs 40–43	06 Compliance, trust and people Can Optum keep the trust of regulators, clients and staff? KPIs 44–48

What we deliberately left out

Risk-score growth and HCC capture rate are not used as targets. UnitedHealth's coding practices are under DOJ investigation, and CMS has said it will not reward coding games, so these KPIs would reward the exact behavior regulators are pursuing. Diagnosis coding accuracy (KPI 44) measures the same process safely.

01 Enterprise and finance

Is the turnaround working?

#	KPI	What it measures	Why we track it	Owner
1	Adjusted operating margin by segment	Adjusted operating earnings ÷ revenue, per segment.	Optum is trading revenue for margin; this shows if it's working.	Optum CEO
2	Organic revenue growth	Revenue growth excluding M&A and planned market exits.	Separates planned downsizing from real business losses.	Optum CFO
3	External revenue share	Non-UnitedHealthcare revenue ÷ total Optum revenue.	Shows if Optum wins on the open market, not just captive volume.	Optum CEO
4	Loss-contract reserve burn-down	Remaining reserves on unprofitable risk contracts vs. plan.	Tracks whether the Optum Health cleanup is on schedule.	Optum CFO
5	Operating cost ratio	Operating costs ÷ revenue, plus automation savings.	Productivity gains fund AI investment and protect margin.	Optum CFO
6	AI return on investment	(Annual savings + new AI revenue) ÷ AI spend.	About \$1.5B is going into AI in 2026, with a ~2:1 return expected.	Optum CFO

02 Optum Health

Are value-based care economics fixed?

#	KPI	What it measures	Why we track it	Owner
7	Value-based lives by risk type	Patients in full-risk and two-sided risk contracts.	These patients drive profit, and the base is shrinking by design.	Optum Health CEO
8	Value-based patient retention	Share of patients still attributed after 12 months.	Keeping patients is cheaper than replacing them.	Market presidents
9	Risk-contract medical cost ratio	Medical costs ÷ fixed per-patient revenue on risk contracts.	The biggest single driver of profit or loss in the segment.	Optum Health CEO
10	Total cost of care vs. benchmark	Risk-adjusted cost per member per month vs. local market.	Proves value to health plans; Houston reports 15–30% lower cost.	Optum Health CEO
11	Markets at target margin	Share of contracts and markets meeting the margin hurdle.	Results vary widely by market; averages hide weak spots.	Optum Health CEO
12	Acute utilization	Admissions and ER visits per 1,000; 30-day readmissions.	Avoided hospital stays are where the savings come from.	Chief medical officer
13	Care management effectiveness	High-risk patient engagement, 7-day follow-up, readmissions.	Care managers prevent the costly events that erase margin.	Care managers
14	Quality and Stars	Care-gap closure, wellness visits, share in 4-star+ plans.	Star ratings drive Medicare bonus payments.	Chief medical officer
15	Chronic disease control	BP control (<140/90) and poor diabetes control (HbA1c >9%).	Controlled chronic disease means fewer complications and costs.	Primary care clinicians
16	Access to care	Days to third-next-available appointment; new-patient wait.	Patients who can't get in end up in the ER or leave.	Market presidents
17	Aligned-clinician share	Share of patients seen by employed or dedicated clinicians.	Optum's chosen model after loose affiliate networks underperformed.	Optum Health CEO
18	Home health and hospice quality	Timely care starts, hospitalizations, star ratings, CAHPS.	Home care (LHC, Amedisys) keeps patients out of hospitals.	Home health leader
19	Surgical site-of-service performance	SCA volume, site-of-service shift, cost per case, transfers.	Surgery centers deliver the same quality at lower cost.	SCA Health leader

03 Optum Rx

Can Optum Rx move to transparent fees without losing clients or margin?

#	KPI	What it measures	Why we track it	Owner
20	Adjusted scripts and client retention	Quarterly adjusted scripts; share of client revenue renewed.	Scripts fell to 387M from 414M in Q2 2026; volume is the top risk.	Optum Rx CEO
21	Net new business	Revenue and members won minus lost each selling season.	Wins must offset losses from UnitedHealthcare membership declines.	Optum Rx CEO
22	Transparent-model adoption	Share of clients on flat per-member fees.	Shows whether the new fee model is landing with clients.	Account managers
23	Rebate pass-through rate	Rebates passed to clients ÷ total manufacturer rebates.	Optum Rx has committed to 100% by January 1, 2028.	Optum Rx CEO
24	Client net cost trend and guarantees	Change in client net drug cost per member; guarantees met.	Clients judge a PBM on whether it lowers their drug spend.	Account managers
25	Generic and biosimilar dispensing rate	Eligible scripts filled with generics or biosimilars.	The most direct lever for lowering drug costs.	Clinical pharmacy leader

#	KPI	What it measures	Why we track it	Owner
26	Prior authorization speed	Median decision time; share decided in real time.	Slow approvals delay care; PreCheck decides some in under 30 seconds.	Clinical pharmacy leader
27	Medication adherence	Members with ≥80% days covered on key chronic drugs.	A Medicare Part D star measure that predicts outcomes.	Clinical pharmacy leader
28	Prescription abandonment rate	Approved prescriptions never picked up.	Abandoned scripts mean untreated patients.	Clinical pharmacy leader
29	Specialty pharmacy performance	Specialty growth, delivery time and dispensing accuracy.	Specialty drugs drive Optum Rx's growth and drug spend.	Specialty pharmacy ops

04 Optum Insight

Is AI spending turning into growth?

#	KPI	What it measures	Why we track it	Owner
30	Bookings and backlog	New contract value signed; total contracted backlog.	Multi-year contracts mean bookings predict future revenue.	Optum Insight CEO
31	Net revenue retention	Revenue from existing clients vs. the prior year.	Shows if clients stay and grow after the Change Healthcare outage.	Optum Insight CEO
32	Client value realization	Time to go-live; client-reported ROI.	Fast, proven value drives renewals.	Product managers
33	AI product adoption	Optum Real transactions, touchless coding, digital prior auth.	Optum Real is expected to reach 2.5B transactions in 2026.	Product managers
34	Client revenue cycle outcomes	Clean claims, denials, days in A/R, cost to collect.	These are the results providers pay Optum to improve.	RCM services leader
35	Platform reliability	Clearinghouse uptime, speed, restore time, recovery tests.	The 2024 cyberattack showed how much healthcare runs on it.	Platform leader
36	Engineering delivery	Deployment frequency, change failures, legacy retirement.	Shows how fast Insight ships AI-native products safely.	Platform leader
37	Security posture	Critical fixes within SLA, response time, PHI incidents.	Another breach would damage trust and invite regulators.	CISO
38	Competitive win rate	Deals won vs. Waystar, Availity, R1 and others.	Rivals gained share during the outage; can Optum win it back?	Optum Insight CEO
39	Optum Financial growth	Accounts, assets under administration, Alegeus progress.	Consumer health accounts are a new growth area.	Optum Insight CEO

05 Patient, member and clinician experience

Do people feel the difference?

#	KPI	What it measures	Why we track it	Owner
40	Net Promoter Score by touchpoint	NPS for clinics, pharmacy, home care, digital, business clients.	Loyalty drives retention; scores show where to fix.	Consumer experience
41	Digital engagement	Avery AI assistant reach; share resolved without a human.	Avery is planned for 20M members by end-2026.	Consumer experience
42	Service resolution	First-contact resolution, complaint rate, appeal overturns.	Unresolved issues drive complaints and member loss.	Consumer experience
43	Clinician experience	Documentation time, AI scribe use, satisfaction, turnover.	Value-based care depends on stable, engaged care teams.	Chief people officer

06 Compliance, trust and people

Can Optum keep the trust of regulators, clients and staff?

#	KPI	What it measures	Why we track it	Owner
44	Diagnosis coding accuracy	Coded diagnoses supported by the medical record in audits.	Coding is under DOJ and CMS scrutiny; reward accuracy, not volume.	Chief compliance officer
45	Prior authorization burden	Approvals eliminated, share electronic, approval rate, speed.	UnitedHealth plans to cut 30% of prior approval volume by end-2026.	Chief compliance officer
46	Regulatory readiness	Part D compliance with 2026 PBM reform; audit fixes on time.	New federal rules require delinked PBM pay and full pass-through.	Chief compliance officer
47	Leadership stability	Vacancy, tenure and succession for the top 100 roles.	Nearly half of top roles were refreshed; stability protects execution.	Chief people officer
48	Workforce health	Engagement, clinical turnover, time to fill, AI training.	Care delivery depends on keeping frontline staff.	Chief people officer

07 KPI ownership by role

Each role's scorecard, using the KPI numbers from the tables above.

Role	KPIs owned	KPI #	Review cadence
Optum CEO	Adjusted operating margin; organic revenue growth; external revenue share; AI ROI; NPS by touchpoint; diagnosis coding accuracy	1, 2, 3, 6, 40, 44	Monthly; quarterly deep-dive
Optum CFO	Adjusted operating margin; organic revenue growth; loss-contract burn-down; operating cost ratio; AI ROI; bookings and backlog	1, 2, 4, 5, 6, 30	Monthly
Optum Health CEO	Value-based lives; patient retention; risk-contract medical cost ratio; total cost of care; markets at target margin; aligned-clinician share	7-11, 17	Monthly
Optum Health chief medical / quality officer	Acute utilization; care management; quality and Stars; chronic disease control; clinician experience; diagnosis coding accuracy	12-15, 43, 44	Monthly
Market president / medical group leader	Patient retention; market medical cost ratio and margin; access to care; NPS; clinician experience	8, 9, 11, 16, 40, 43	Weekly ops; monthly P&L
Primary care physician / nurse practitioner	Admissions for their patients; care-gap closure and wellness visits; chronic disease control; patient NPS; diagnosis coding accuracy	12, 14, 15, 40, 44	Monthly
Care manager / nurse coordinator	Acute utilization in managed patients; care management effectiveness	12, 13	Weekly
Home health and hospice leader	Home health and hospice quality; frontline staff turnover	18, 48	Monthly
Surgery center leader (SCA Health)	Surgical site-of-service performance	19	Monthly
Optum Rx CEO	Adjusted operating margin; scripts and client retention; net new business; transparent-model adoption; rebate pass-through; client net cost trend	1, 20-24	Monthly
Clinical pharmacy leader (PBM)	Generic and biosimilar rate; prior authorization speed; medication adherence; abandonment rate	25-28	Monthly
Specialty pharmacy ops (incl. home delivery)	Specialty pharmacy performance; pharmacy NPS	29, 40	Weekly

Role	KPIs owned	KPI #	Review cadence
PBM account / client success manager	Client retention; transparent-model adoption; client net cost trend and guarantees; client NPS	20, 22, 24, 40	Quarterly
Optum Insight CEO	Adjusted operating margin; bookings and backlog; net revenue retention; AI product adoption; competitive win rate; Optum Financial growth	1, 30, 31, 33, 38, 39	Monthly
Insight product manager	Client value realization; AI product adoption; client NPS	32, 33, 40	Per release; monthly
Platform leader (engineering)	Platform reliability; engineering delivery	35, 36	Weekly
Chief information security officer	Platform reliability (disaster-recovery tests); security posture	35, 37	Weekly
RCM services leader (revenue cycle)	Client revenue cycle outcomes	34	Weekly
Chief compliance officer	Diagnosis coding accuracy; prior authorization burden; regulatory readiness	44-46	Monthly
Chief people officer	Clinician experience; leadership stability; workforce health	43, 47, 48	Quarterly
Consumer experience leader	NPS by touchpoint; digital engagement; service resolution	40-42	Weekly

Sources. UnitedHealth Group Q2 2026 earnings release (July 16, 2026); UnitedHealth Group 2025 results and 2026 outlook (January 27, 2026); Optum Rx pharmacy care model announcement (May 11, 2026); CMS CY2027 Medicare Advantage rate announcement (April 6, 2026); Drug Channels Institute PBM market share analysis (March 2026); reporting by Becker's Healthcare, Healthcare Dive and Fierce Healthcare (2025-2026). Figures are as reported and should be refreshed after UnitedHealth Group's Q3 2026 results on October 13, 2026.